Realizing this, the government started building some elements of private operations in the Railways. A few years ago, private investment was invited in goods wagons under an ‘Own Your Wagon’ scheme; in container management by allowing private container depots to be set up; and lately in passenger traffic by offering certain routes for private operations. These initiatives have not made a significant difference in the value addition made by the private sector—more than 99.5 per cent of the value addition in the Railways is made by the public sector.

STUs Unravelling but Not Fading Out

The First Five-Year Plan describes the state of road transport services in the country. There were reported to be as many as 47,575 operators in the country; twenty-five of these owned a fleet of vehicles exceeding 100. As many as 46,000 operators had less than five vehicles to provide transport services. In pre-Independence India, some princely states had established bus transport undertakings owned and operated by their governments.

The Road Transport Corporation Act, 1950, had been enacted to enable state governments to ‘establish a Road Transport Corporation for the whole or any part of the state’. It also provided for acquisition of private road transport undertakings on payment of compensation and for the Central government to participate in the equity capital of these road transport corporations.

The first Five-Year Plan noted that state-operated services existed in varying scales in Assam, Bihar, Bombay, Madhya Pradesh, Madras, Orissa, Punjab, Uttar Pradesh, West Bengal, Hyderabad, Madhya Bharat, Mysore, Rajasthan, Saurashtra, Travancore–Cochin, Kutch, Himachal Pradesh, Manipur, Bilaspur and Delhi. The First and Second Five-Year Plans ‘encouraged’ states to consolidate small operators in the larger STUs and provided for equity stakes to be taken, first by the Railways and later by the Government of India, in these STUs.